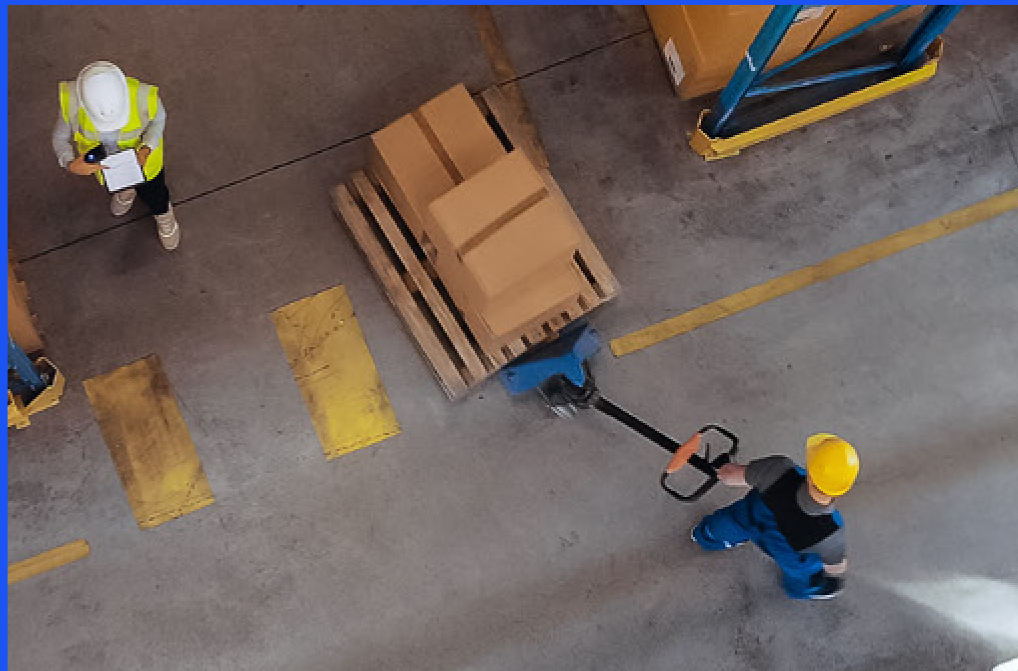


India's Emerging *Industrial & Warehousing Corridors*

– Mapping the Next Growth Frontier

FEBRUARY 2026

TABLE OF contents

Global industrial and warehousing market – At a glance

The global warehousing market is undergoing significant transition as businesses respond to shifts in consumer behavior, supply-chain redesign, and increasing technology adoption. While established markets are showing signs of stabilization, several emerging regions are experiencing accelerated growth driven by modernization efforts and heightened logistics needs. Within this evolving environment, India is gaining prominence as a high-potential market, supported by structural reforms, expanding infrastructure, and growing demand for modern, efficient warehousing. In this section, we have analyzed India’s position and potential in the global warehousing market along with broad overarching trends in select regions.

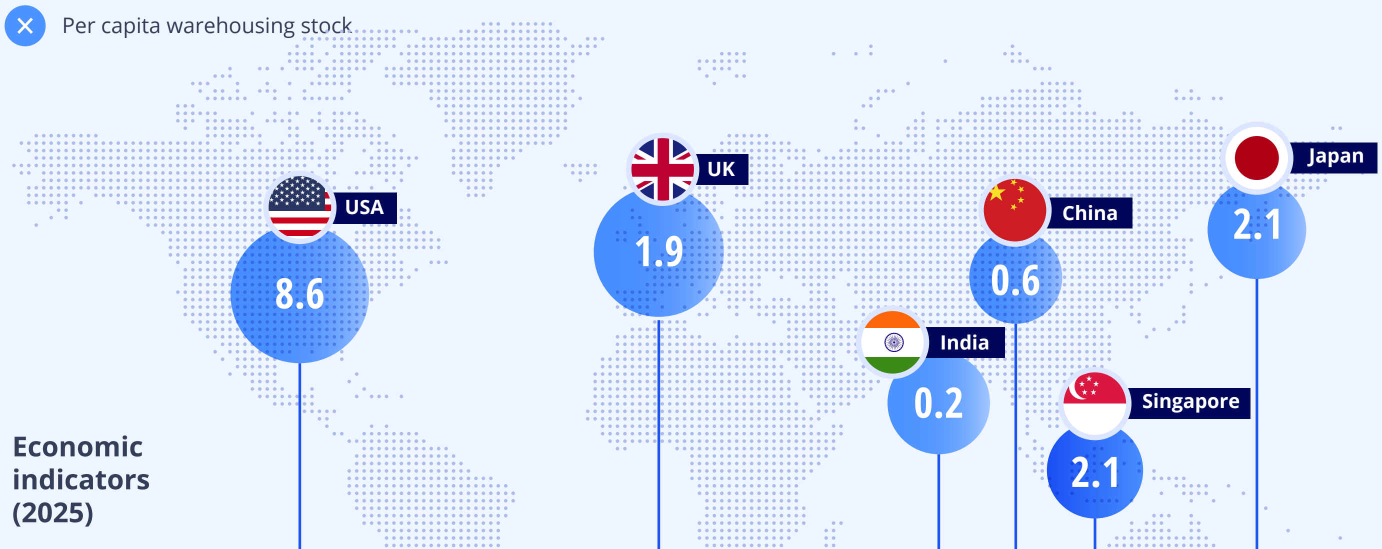
CHAPTER 01

Global warehousing requirements on the rise

Global warehousing requirements are undergoing a structural shift, driven by rapid e-commerce expansion, supply-chain reconfiguration, and technology adoption. Globally, although the US remains the largest warehousing market, demand and rentals are stabilizing in the region. Elsewhere, within Asia-Pacific, China is the fastest growing market driven by logistics modernization while India has high growth potential which is reflected in the current low per capita warehousing stock. The freight and logistics segment driven by Third Party Logistics (3PL) players is a key driver of Grade A industrial & warehousing space uptake across major economies. The segment is currently driven by United States and China with a market size of USD 1.38 trillion and USD 1.31 trillion respectively. India's logistics market, valued at USD 0.35 trillion1, continues to be supported by policy initiatives, infrastructure development and expanding industrial corridors.

Overall, modern industrial & warehousing infrastructure is poised to grow exponentially across countries, especially in under-penetrated markets such as India, driven by supply chains which are evolving towards greater efficiency, resilience and technology adoption. Across global markets, occupiers are displaying "flight to quality," preferring modern Grade A facilities capable of supporting automation, AI integration, and sustainable operations.

India industrial & warehousing market: Nascent with untapped potential



Economic indicators (2025)

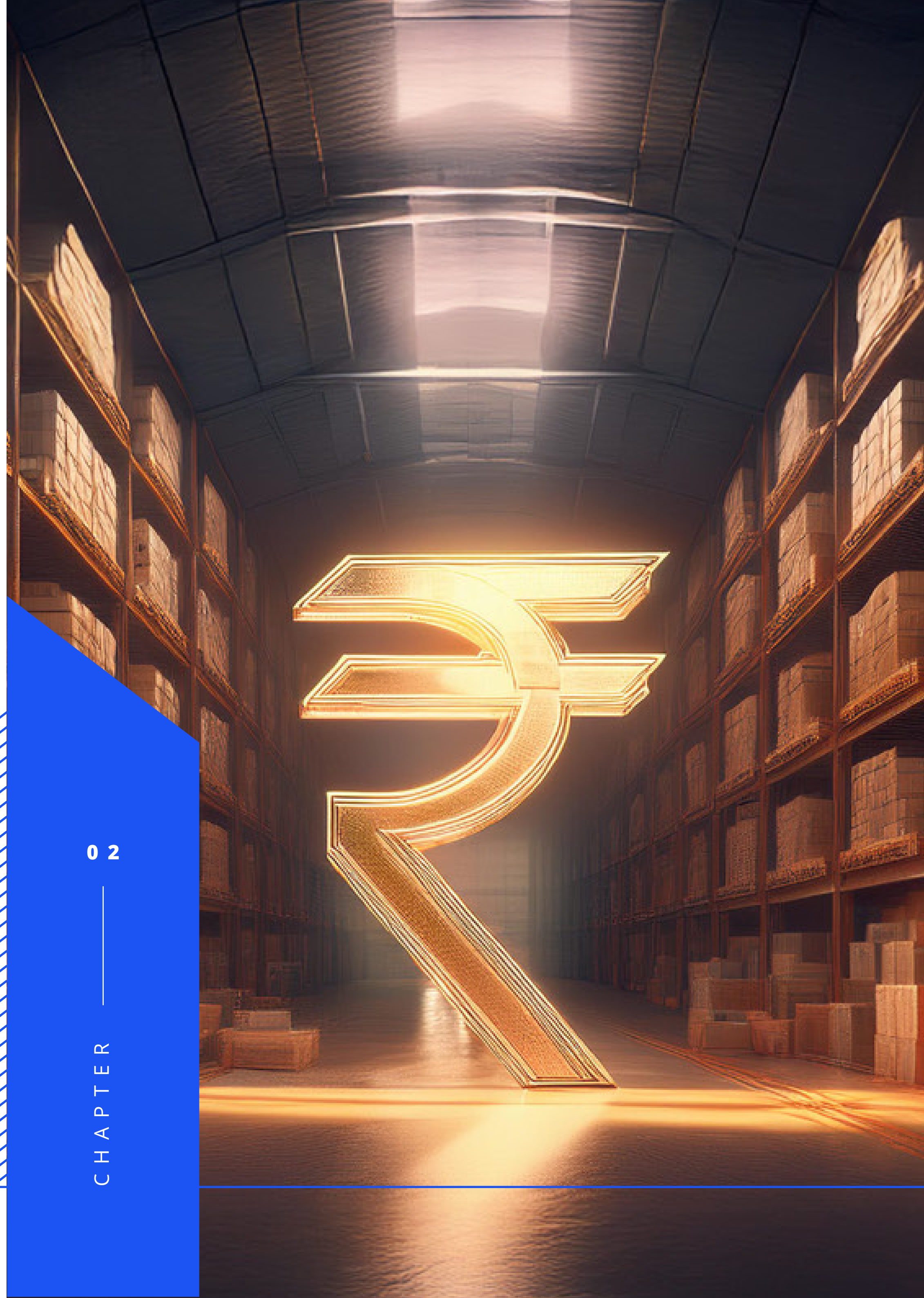
	USA	UK	India	China	Singapore	Japan
GDP growth rate (%)	2.4	1.3	7.3	4.5	1.8	0.7
Inflation rate (%)	2.4	2.5	1.8	0.7	1.3	2.1
Interest rate (%)	3.75	3.75	5.25	3.00	1.46	0.75

Notes: India GDP growth rate is for FY 26. (World Economic Outlook - Jan 26), Inflation and interest rates are as per latest available data
Source: IMF, Industry, Colliers

Economies with mature consumption base and integrated supply chains typically support larger, more advanced warehousing infrastructure. In contrast, high-growth emerging markets, particularly India, offer a compelling long-term opportunity for logistics and warehousing development. Although India's industrial & warehousing sector is comparatively nascent, it holds immense growth potential as demand is set to grow multifold over the course of next few years driven by favorable demographics, policy support and infrastructure augmentation.

Industrial & warehousing on the rise - Growth catalysts in India

India's industrial & warehousing sector is entering a period of accelerated expansion, driven by a confluence of economic, demographic, and policy-led shifts. The country's growing manufacturing momentum, proactive policy reforms, and rising investor appetite are collectively positioning it as one of the most promising warehousing markets in the region. Supported by regulatory reforms and a coordinated policy focus on lowering logistics costs, the infrastructure momentum is laying a strong foundation for sustained, long-term expansion of modern industrial & warehousing facilities. This section explores the key catalysts behind India's rise, highlighting how these forces are reshaping its industrial & warehousing market.



02

CHAPTER

Manufacturing impetus provides boost to warehousing requirements

17%

India's manufacturing sector's contribution to GDP (2025)

25%

India's 2035 target for manufacturing sector's contribution to GDP

Source: Economic Survey 2025-26, Industry

The industrial & warehousing sector has emerged as a critical pillar of India's economic growth story, driven by manufacturing expansion, rising e-commerce penetration and strengthening of exports. Upbeat manufacturing activity and sustained private consumption has created a solid foundation for long-term demand across industrial, logistics, and warehousing assets.

In fact, steadfast execution of government initiatives like Make in India, Gati Shakti, MMLPs, and PLI schemes continue to boost the manufacturing ecosystem and drive strong demand for large industrial & warehousing spaces. Moreover, the surge in e-commerce and rapid-delivery platforms has accelerated the need for compact, neighborhood-centric storage solutions and warehouses.

Trends in Manufacturing PMI

Source: S&P Global, Colliers | Note: Data pertains to the respective calendar years

Manufacturing activity in India measured by Purchasing Managers' Index (PMI), has consistently remained in the expansionary zone (a reading of above 50) since 2010, barring minor blips in between, during the pandemic-induced national lockdowns.

The Index of Industrial Production (IIP) too has shown consistent growth except during the pandemic. In 2025, monthly IIP has shown a YoY growth of up to 7%, indicating sustained momentum in industrial output.

Policy & infrastructure push amplifies long-term growth potential

India's industrial & warehousing landscape is being rapidly shaped by coordinated national policies which focus on augmentation & integration of industrial & freight corridors, multi-modal logistics parks, dedicated rail corridors, expressways, ports etc. through flagship initiatives like the National Industrial Corridor Development Programme (NICDP) and PM GatiShakti National Master Plan. The Union Budget 2026-27, too, has continued the manufacturing impetus through focused programmes such as National Semiconductor Mission 2.0, Biopharma Shakti Scheme, Rare Earth Corridors, dedicated chemical parks etc. Such policy level push and infrastructure development is critical in strengthening India's position as a competitive manufacturing hub in the long term while simultaneously attracting domestic and global investments.

Enhanced multi-modal connectivity, plug-and-play industrial parks in dedicated clusters, and improved supply-chain efficiency are likely to drive industrial & warehousing requirements, reduce logistics costs, and enable faster freight movement. As greenfield industrial clusters and logistics hubs come up, the sector is expected to witness accelerated growth over the course of next few decades.

Indian exports on the rise

USD 825.3 Bn

India's total export in FY 2025 (merchandise + services)

5.8%

CAGR (2010-2024)

Electronic goods, agricultural commodities, food processing, and mineral-based products accounted for the bulk of exports

Source: Economic Survey FY 2025-26, DGFT, Colliers

Focus on domestic manufacturing and rising exports has increased the demand for industrial & warehousing space across key markets of the country. Sustained growth in exports, particularly in electronic goods, agricultural commodities, food processing, and mineral-based products have driven the need for modern manufacturing facilities, export-oriented industrial clusters, Grade A warehouses, freight corridors, and logistics hubs.

Higher export volume in recent years have accelerated the demand for large-format, compliance-ready warehouses to support aggregation, storage, packaging, and faster outbound movement of goods.

Policy & infrastructure development overview: Umbrella programmes & flagship projects

Corridor Development

Road
Bharatmala Pariyojana

National Industrial Corridor Development Programme

11 corridors under various stages of development

Aims to develop existing industrial hubs and enhance manufacturing-led growth across key nodal points of the corridors

Industrial Smart Cities

20 smart cities being developed along industrial corridors

Establish sustainable, technology-driven industrial cities that enhance economic growth, attract global investments, and generate employment

Rail
Freight Corridors Programmes

Dedicated Freight Corridors

5 dedicated corridors being developed across the country

Build high-capacity freight railway corridors to decongest passenger lines and improve freight handling efficiency

Sea
Sagarmala Programme

Seaport, harbour, port & cargo handling projects

Over 800 projects identified; 200 completed

Promote port-led development and coastal economic activity

Air
Airport Expansion

Greenfield airports + terminal expansion

8 international airports under various stages of construction

Build new, modern aviation infrastructure including greenfield airports, expand air travel capacity, and boost economic growth across multiple regions of the country

Multimodal Connectivity and Logistics Movement

PM Gati Shakti Programme

National Logistics Policy

Logistics Performance Index target: Top 25 globally by 2030

Aims to enable digital integration & transparency and improve multimodal efficiency

Multimodal Logistics Parks

35 sanctioned parks, out of which 5 have been approved

Transform logistics in India, by improving competitiveness, productivity, and global integration

Manufacturing Impetus and Sector Specific Interventions

Domestic manufacturing push
Make in India programme

Production Linked Incentives

Incentives linked to incremental production across 14+ sectors

Provide transformational push for manufacturing, employment, and global competitiveness

Sector-specific interventions
Select additional programmes

PM MITRA Parks

7 parks envisaged across India

Focuses on bringing the entire textile value chain together, the initiative is expected to reduce logistics costs, boost operational efficiency

BioPharma SHAKTI Scheme, Semiconductor Mission 2.0, Rare Earth Corridor, etc.

Aimed at strengthening India's ecosystem for production of drugs & pharmaceuticals

Focus on mining, processing, research, and manufacturing, leveraging the mineral-rich base of the identified states

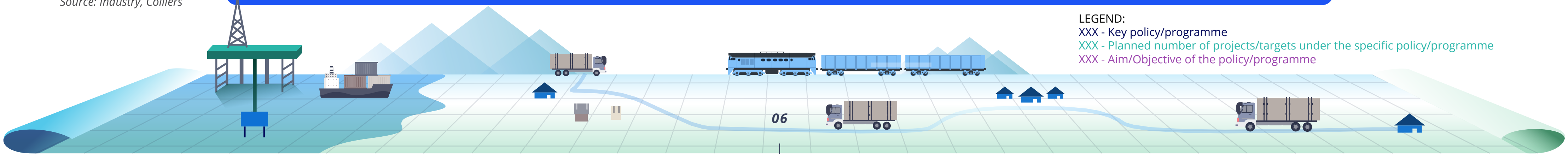
Corridor based development, through programmes like Bharatmala, Sagarmala, freight corridors, airport expansions, etc. will expedite infrastructure driven equitable regional growth

Multimodal connectivity, logistics movement, domestic manufacturing push and other focused interventions will provide boost to multiple economic sectors

Long term Industrial & Warehousing boost through infrastructure, logistics & policy push

Source: Industry, Colliers

LEGEND:
XXX - Key policy/programme
XXX - Planned number of projects/targets under the specific policy/programme
XXX - Aim/Objective of the policy/programme



Visual depiction: Summarizing the policy, infra and logistics push

Dedicated Freight Corridors (DFCs - 5)

Operational   Approved

EDFC - Eastern Dedicated Frieght Corridor
WDFC - Western Dedicated Frieght Corridor
EWDFC - East West Dedicated Frieght Corridor
NSDFC - North South Dedicated Frieght Corridor
ECDFC - East Coast Dedicated Frieght Corridor

National Industrial Corridors (NICs - 11)

DMIC - Delhi Mumbai Industrial Corridor
AKIC - Amritsar Kolkata Industrial Corridor
DNIC - Delhi Nagpur Industrial Corridor
HNIC - Hyderabad Nagpur Industrial Corridor
BMIC - Bengaluru Mumbai Industrial Corridor
HWIC - Hyderabad Warangal Industrial Corridor
HBIC - Hyderabad Bengaluru Industrial Corridor
CBIC - Chennai Bengaluru Industrial Corridor
VCIC - Visakhapatnam Chennai Industrial Corridor
OEC - Odisha Economic Corridor
Ext. CBICK - Extension to CBIC to Kochi via Coimbatore

Multi-modal Logistics Parks (MMLP)

Santioned (35)   Approved (5 out of 35)

Industrial Smart Cities (20)

Select Major Sea Ports

Operational   Approved

Select Major Upcoming Airports

Pradhan Mantri Mega Integrated Textile Region and Apparel Parks

Sanctioned and approved PM MITRA Parks (7)

Major Industrial and warehousing influence zones along key corridors in India

Source: Industry, Government portals/ministries, Colliers

Institutional investments and foreign capital provide supply-side push

Institutional investments in industrial and warehousing segment (2010-2025)

USD 7.5 Bn

Cumulative investments (already deployed)

~10%

Share in overall real estate investments

Source: Colliers, Industry
Note: The institutional flow of funds include investments by Alternative Investment Funds (AIFs), family offices, foreign corporate groups, foreign banks, pension funds, private equity, real estate funds & platforms, foreign-funded NBFCs, listed REITs and sovereign wealth funds. The data has been compiled as per available information in the public domain

Institutional investment inflows into the industrial & warehousing sector have gained significant momentum in the post-pandemic era, and this is likely to provide a supply-side push over the next few years. Moreover, developer offerings are likely to increasingly align with global benchmarks on account of sustained interest from global funds and domestic investors, which underscores the segment's strong fundamentals, long-term growth visibility and increasing investor preference for diversifying real estate exposure in India.

Manufacturing investments announced

USD 38+ Bn

Cumulative investments (already deployed)

Semiconductors, Automobile and Electronic Vehicles (EVs)

Attracted majority of the investments

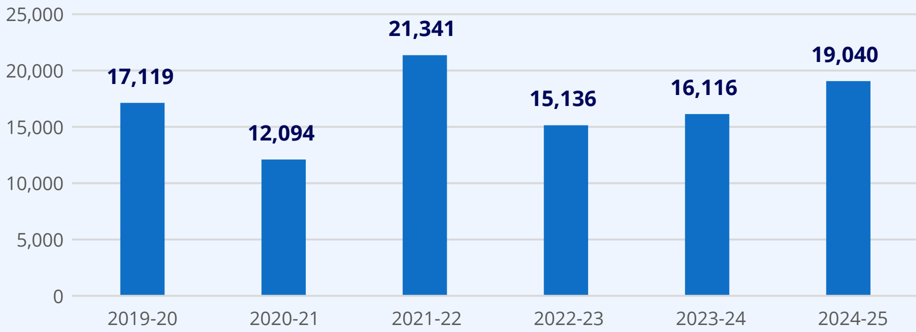
Source: Industry, Colliers

~USD 19 Bn
Manufacturing FDI (FY 2024-25)

18%
Annual Growth (FY 2024-25 vs FY 2023-24)

~23%
Share of Manufacturing FDI in India's annual FDI equity inflows

Trends in Manufacturing FDI (USD million)



Source: DPIIT, Colliers

FDI inflows into manufacturing-oriented sectors such as automobiles, chemicals, drugs & pharmaceuticals, textiles, electronics etc. grew 18% annually to around USD 19 billion in FY 2024–25, reflecting growing investor confidence in India's manufacturing capabilities. This rising capital allocation is translating into new capacity expansion and deeper integration of supply chains.

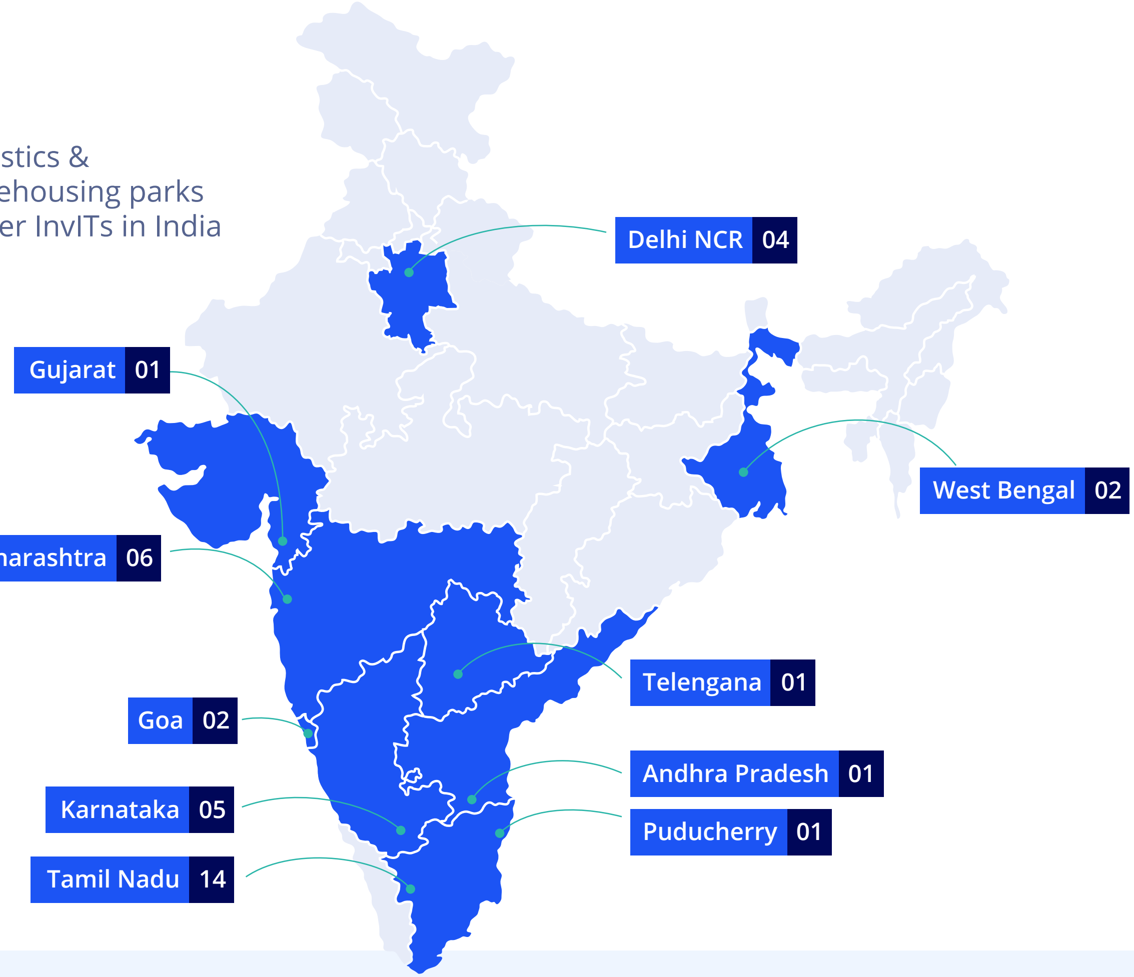
Consequently, the need for large, compliant industrial facilities and Grade A warehousing is increasing, particularly across key manufacturing corridors and logistics hubs, supporting sustained growth in industrial & warehousing demand.

REITs & InvITs driving efficiencies and state-of-the-art infrastructure development

Increasing institutionalization of India's industrial & warehousing market through REITs/InvITs is accelerating the shift towards large-scale, professionally managed Grade A assets with steady enhancements in transparency, governance, and capital flow. The emergence of REITs/InvITs within the segment is likely to encourage real estate developers for portfolio expansion and acquisition driven market consolidation.

Looking ahead, continued institutionalization is expected to further deepen the market and bring in global expertise and best practices. Moreover, traction in REITs/InvITs is expected to reinforce investor confidence and sustain long-term growth in India's industrial & warehousing market.

Logistics & warehousing parks under InvITs in India



NDR InvIT Trust – Key statistics

Source: Latest filings of NDR InvIT

NDR InvIT Trust, the first REIT/InvIT with industrial & logistic parks and warehouses as underlying assets, currently has a presence across 15 cities, 37 industrial parks, and 60 warehouses. With about 19 million sq ft of assets under management and over 6 million sq ft under development, the group has demonstrated strong scale, execution capability, and growth visibility.

Its exposure to industrially progressive states such as Karnataka, Tamil Nadu, Maharashtra, Delhi NCR etc. aligns well with demand from 3PL, e-commerce, retail, and manufacturing occupiers, simultaneously mitigating concentration risk.

Source: NDR InvIT, Colliers

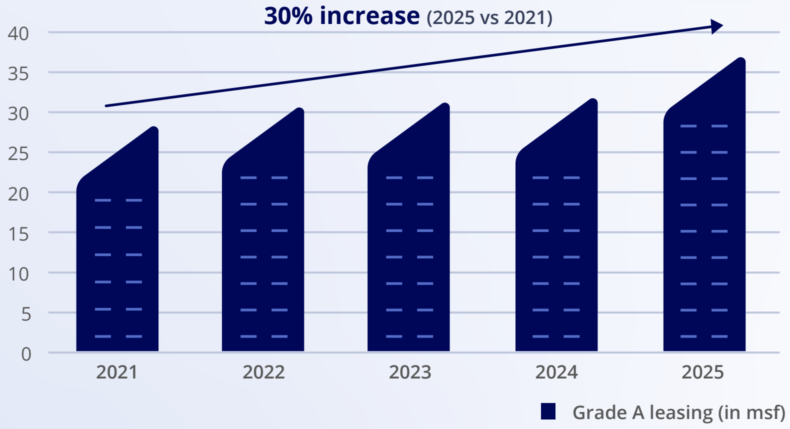
Industrial & warehousing market dynamics in India

Strong economic growth prospects, demographic shifts, policy and infrastructure push are driving India's industrial & warehousing sector into a new phase of accelerated growth. In fact, industrial & warehousing demand was at an all-time high of 36.9 million sq ft during 2025, up by 16% YoY. Delhi NCR, Chennai, Mumbai & Pune typically account for 70-80% of the Grade A space uptake, led by well-established manufacturing clusters and superior infrastructure connectivity. In terms of demand segments, 3PL firms drove almost one-third of the leasing activity across the top 8 markets of the country.

Demand peaks across most major markets

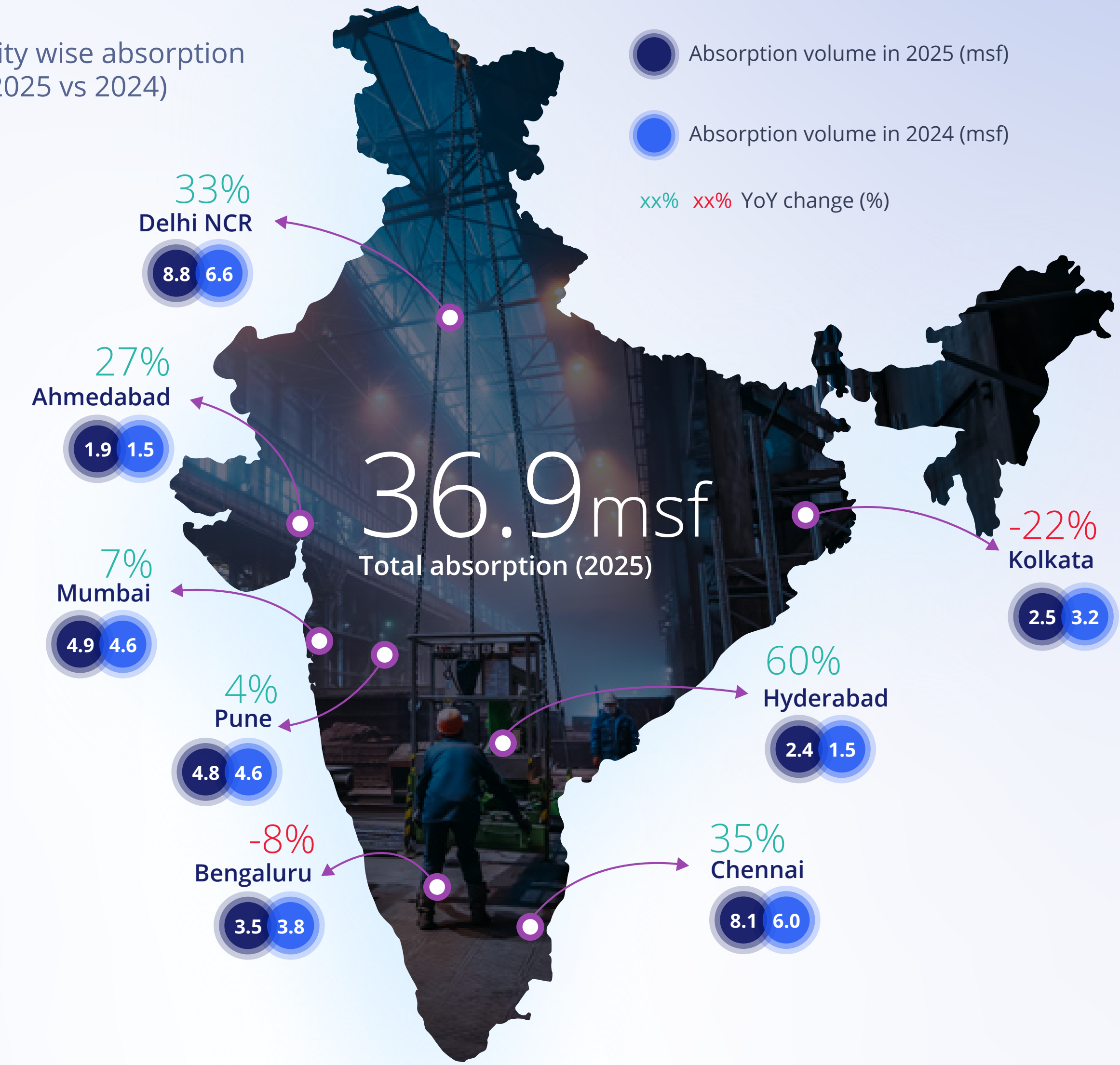
Leasing activity at all-time high of **~37 msf** across the top 8 markets

Trends in absorption



Grade A space absorption trends in top eight markets of India from 2021 to 2025 shows a steady upward trajectory with a 30% increase in 2025 compared to 2021. During 2025, with about 37 million sq ft of leasing in 2025, industrial & warehousing demand across the top eight cities remained at an all-time high, witnessing a 16% YoY growth. At the city level, Delhi NCR dominated the leasing with 24% share, followed by Chennai (22%) and Mumbai and Pune (each 13%).

City wise absorption (2025 vs 2024)

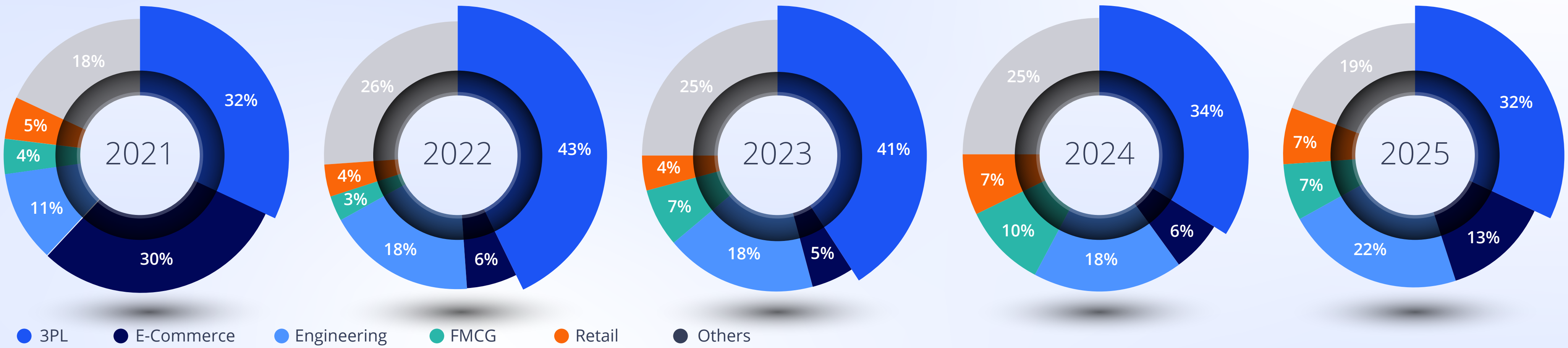


Source: Colliers
Note: Data pertains to Grade A buildings | Data pertains to top 8 cities – Ahmedabad, Bengaluru, Chennai, Delhi NCR, Hyderabad, Kolkata, Mumbai, and Pune | Gross absorption does not include lease renewals, pre-commitments and deals where only a Letter of Intent has been signed.

3PL, E-commerce and Engineering firms drive space uptake

Leasing trends clearly show the dominance of 3PL, e-commerce, and engineering occupiers in India's industrial & warehousing market. In each of the last five years, these three segments accounted for more than 60% of the total space take-up. Usually, 3PL players have been the largest demand driver, highlighting the growing emphasis on organized supply chain and outsourced logistics. Moreover, the surge in e-commerce and rapid-delivery platforms have increased the need for compact, neighborhood-centric storage solutions. Retailers and logistics operators are expected to expand their footprint in localities closer to high-demand neighborhoods to ensure faster delivery timelines.

Demand drivers of Grade A warehousing space (2021-25)

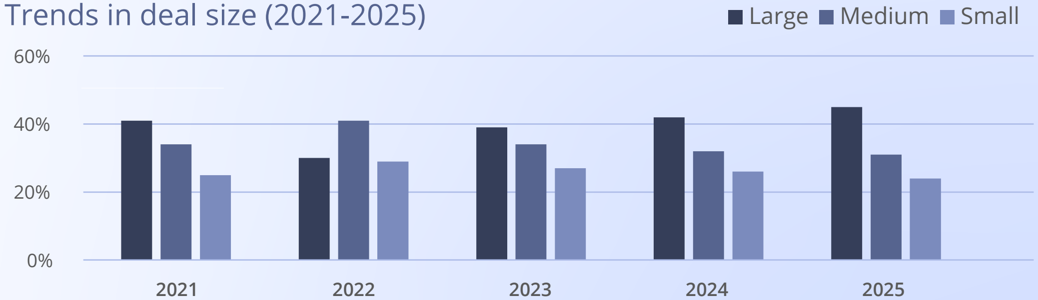


Note: Others include electronics, automobile, etc.

Large sized deals account for over ~40% of the leasing activity

Large-sized deals (200,000 sq ft and above) have consistently accounted for around 40% of the Grade A space uptake. Amongst these larger deals too, 3PL companies continued to account for the bulk of share, followed by E-commerce and Engineering players. Interestingly, majority of the FMCG and retail transactions in recent years were in the mid and small sized category, driven by the growing popularity of dark stores and hyperlocal delivery firms.

Trends in deal size (2021-2025)



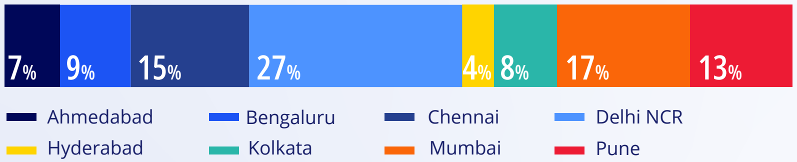
Source: Colliers

Note: Data pertains to Grade A buildings | Data pertains to top 8 cities – Ahmedabad, Bengaluru, Chennai, Delhi NCR, Hyderabad, Kolkata, Mumbai, and Pune | Gross absorption does not include lease renewals, pre-commitments and deals where only a Letter of Intent has been signed

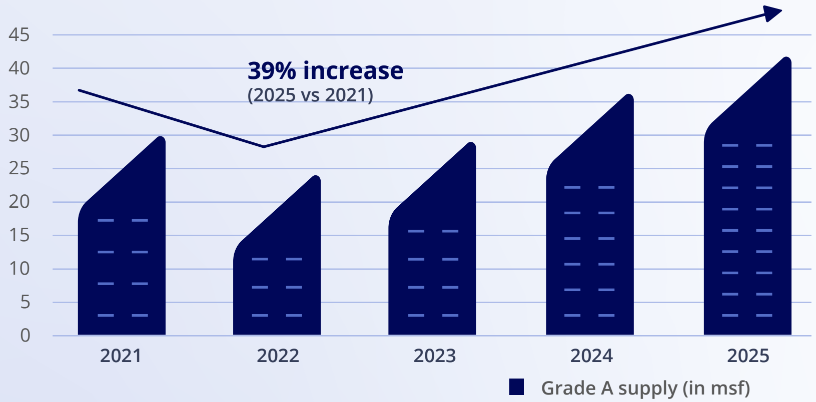
Over 70% of Grade A stock is concentrated in top 4 cities

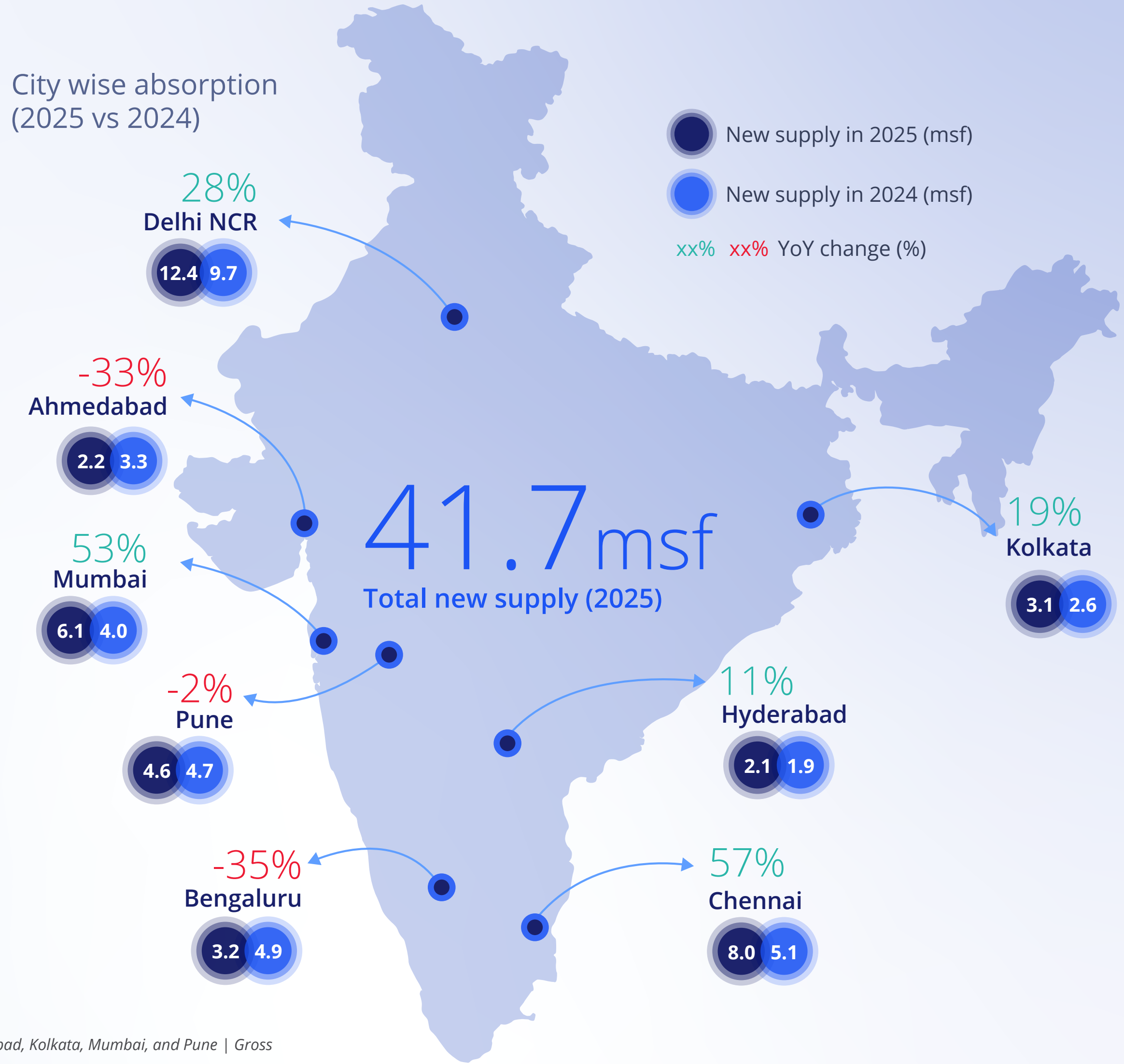
Grade A industrial & warehousing stock (2025)

~300 msf



Trends in new supply (2021-2025)





Source: Colliers
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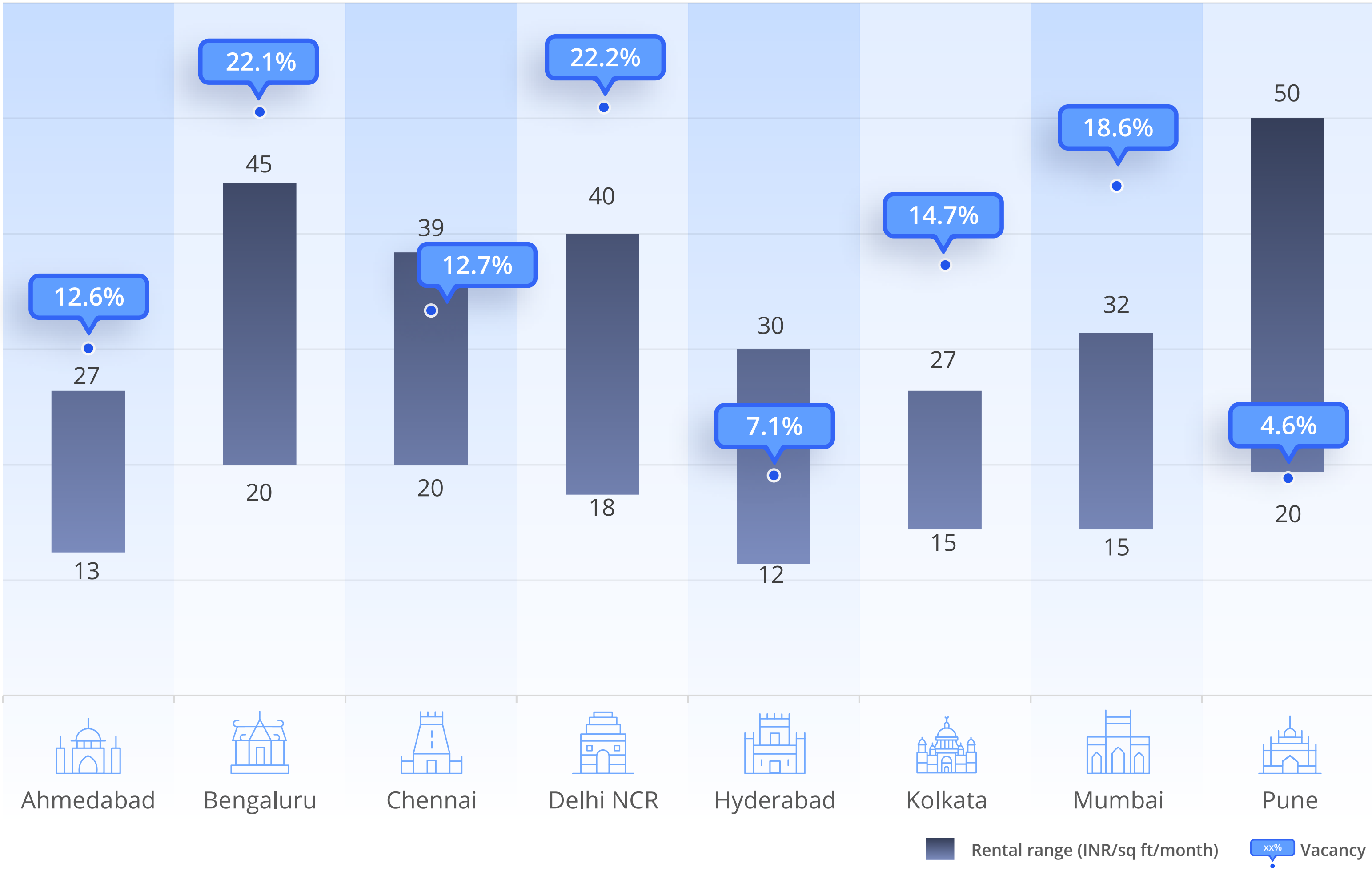
Since 2021, Grade A supply across India’s top eight markets has witnessed a strong upward trajectory, with new supply increasing by 39% in 2025 (as compared to 2021), reflecting heightened development activity and robust supply infusion. This growth has been supported by sustained occupier demand, increasing preference for state-of-the-art warehouses and traction in untapped markets. Total new supply in 2025 across top 8 markets of the country stood at about 42 million square feet, with Delhi NCR accounting for the largest share at 30%, followed by Chennai (19%) and Mumbai (15%), reinforcing their position as the key contributors.

Vacancy levels and rental values remain steady across major markets

Average rentals and vacancy levels in top 8 cities (2025)



Rentals across the top eight industrial and warehousing markets remained largely range bound during 2025. Select micro-markets continued to command premium rentals, with peak rents touching INR 45–50 per sq ft per month, driven by strong occupier preference for high-quality assets in prime micro-markets.

With supply outpacing demand in most markets, vacancy increased by 320 bps annually at India level. However, select cities like Hyderabad and Pune recorded a decrease in the vacancy levels during 2025.

Source: Colliers

Note: Data pertains to Grade A buildings | Data pertains to top 8 cities – Ahmedabad, Bengaluru, Chennai, Delhi NCR, Hyderabad, Kolkata, Mumbai, and Pune | Weighted Average Quoted (WAQ) Rents are in INR per square feet per month for warm shell offices and do not include Common Area Maintenance (CAM) or taxes.

Infrastructure push to support next growth wave

Infrastructure and policy push remain pivotal to the next wave of industrial & warehousing growth in the country. Industrial corridors & smart cities, MMLPs, textile parks and greenfield sea & airports are likely to expedite the demand for Grade A warehouses across multiple Tier II & III cities of the country. Based on the assessment of existing industrial ecosystem, density of MSMEs, presence of established manufacturing clusters, stage of project completion, and proximity to multimodal infrastructure, select cities have emerged as near-mid term growth hotspots. We have identified select flagship projects, provided a qualitative assessment of their likely impact alongside highlighting the upcoming industrial & warehousing hotspots for each of the project/factor. Overall, driven by the infrastructure, logistics & policy push, we envisage the emergence of new growth hotspots and have clustered high potential industrial & warehousing markets as Prime, Emerging and Nascent hubs reflecting their relative readiness, execution momentum, and growth outlook.

04

CHAPTER

Strategic corridors to expedite warehousing demand

Government of India is developing **11 Industrial Corridor projects** as part of the National Industrial Corridor Programme, aimed at providing a **fillip to existing industrial hubs** along the corridor so that they can compete with leading global manufacturing and investment destinations. The programme focuses on **strengthening existing infrastructure**, providing **"plug-and-play" facilities**, while building resilient, sustainable, and future-ready industrial cities.

These corridors are strategically **aligned with major freight corridors, ports, and multimodal logistics networks** to enhance manufacturing efficiency, reduce logistics costs, and strengthen India's global supply chain integration. As implementation progresses, the corridors are expected to provide further boost to large-scale industrial development, significantly enhance warehousing demand, and drive growth in real estate segments including rental housing tailored for migrant workforce and small-scale retail & hospitality projects.

Upcoming industrial corridors

Corridor Name	Key States Covered	Current Status / Phase
Delhi–Mumbai Industrial Corridor (DMIC)	Delhi, Haryana, Rajasthan, Gujarat, Maharashtra	Partly operational; multiple investment regions and nodes under NICDP
Amritsar–Kolkata Industrial Corridor (AKIC)	Punjab, Haryana, UP, Bihar, West Bengal	Early implementation phase; key nodes being identified
Chennai–Bengaluru Industrial Corridor (CBIC)	Tamil Nadu, Karnataka, Andhra Pradesh	Ongoing; three nodes under development (Krishnapatnam, Ponneri, Tumakuru)
Extension of CBIC to Kochi via Coimbatore	Karnataka, Kerala, Andhra Pradesh	Planning and early development stage
Bengaluru–Mumbai Industrial Corridor (BMIC)	Karnataka, Maharashtra	Detailed project reports prepared; awaiting further approvals
Hyderabad–Nagpur Industrial Corridor (HNIC)	Telangana, Maharashtra	In planning stage under NICDP
Hyderabad–Warangal Industrial Corridor (HWIC)	Telangana	Initial node development started
Hyderabad–Bengaluru Industrial Corridor (HBIC)	Karnataka, Tamil Nadu	Multiple nodes under active construction
Visakhapatnam–Chennai Industrial Corridor (VCIC)	Andhra Pradesh, Tamil Nadu	First coastal corridor; Visakhapatnam and Krishnapatnam nodes progressing as per schedule
Delhi–Nagpur Industrial Corridor (DNIC)	Delhi, Madhya Pradesh, Maharashtra	Under discussion; feasibility and DPR under progress
Odisha Economic Corridor (OEC)	Odisha, Jharkhand, Chhattisgarh	Conceptual stage; aligned with Eastern DFC

Source: Industry, Government portals/ministries, Colliers

High impact locations

Driven by maturity of existing industrial ecosystem and presence of established manufacturing clusters, select cities along the industrial corridors are poised for accelerated growth in the industrial & warehousing segment.

The warehousing market of established cities such as Delhi NCR, Mumbai, Pune, Chennai etc. which are at the terminal point of such industrial corridors are expected to mature further, especially in peripheral areas and city outskirts.

Meanwhile, relatively smaller cities along these corridors, which already witness strong industrial activity driven by presence of manufacturing hubs and MSMEs are likely to gain further prominence. We expect significant Grade A supply infusion over the next few years in these smaller cities such as Jaipur, Agra, Nashik, Coimbatore etc. to meet the growing space requirement, especially from dark stores, fulfillment centers and micro-warehouses.

North	West	East	South	Central
Agra	Ahmedabad (Dholera)	Bhubaneswar	Bengaluru	Bhopal
Delhi NCR	Chhatrapati Sambhajinagar	Cuttack	Chennai	Indore
Jaipur	Mumbai-Navi Mumbai	Jamshedpur	Coimbatore	Raipur
Prayagraj	Nagpur	Kolkata	Hubballi-Dharwad	
	Nashik		Hosur	
	Pune		Hyderabad	
	Vadodara		Kochi	
			Vijayawada	
			Visakhapatnam	

Source: Colliers
Note: Remaining cities along the industrial corridors to see growth in long term over the course of next few decades

Industrial smart cities to accelerate growth in Tier II & III cities

Of the **20 industrial cities being developed**, some are planned as automotive and engineering hubs, while others are designed to focus on logistics and manufacturing. While 8 of these potential industrial hubs are already under various stages of development, the government recently approved 12 industrial smart cities with an investment outlay of over INR 28,000 crores, giving a significant push to industrial growth in **key tier II and III locations.**

Powered by digital infrastructure, automation, AI, IoT, and emerging technologies, industrial smart cities are envisaged to enhance efficiency, productivity, and sustainability while creating ecosystems that attract industries, foster innovation, and generate employment.

Overall, such smart cities are expected to promote the **rise of new manufacturing centers, strengthen logistics & supply chains**, and usher in **balanced economic development** across the country.

Industrial smart cities under various phases of development

Core infrastructure already in place	Under development stage	Under development stage
Dholera, Ahmedabad, Gujarat	Nangal Chaudhary (NCR), Haryana	Dighi Port, Raigad, Maharashtra
Shendra Bidkin, Aurangabad, Maharashtra	Greater Noida (NCR), Uttar Pradesh	Jodhpur-Pali Marwar, Rajasthan
Greater Noida (NCR), Uttar Pradesh	Krishnapatnam, Andhra Pradesh	Khurpia, Udham Singh Nagar, Uttarakhand
Vikram Udyogpuri, Ujjain, Madhya Pradesh	Tumakuru, Karnataka	Rajpura-Patiala, Punjab
		Hisar, Haryana
		Agra, Uttar Pradesh
		Prayagraj, Uttar Pradesh
		Gaya, Bihar
		Zaheerabad, Telangana
		Orvakal, Andhra Pradesh
		Koparthy, Andhra Pradesh
		Palakkad, Kerala

Source: Industry, Government portals/ministries, Colliers

High impact locations

Industrial smart cities with core infrastructure already in place such as Dholera, Aurangabad, Greater Noida and Vikram Udyogpuri are well positioned to witness high industrial & warehousing growth in the near-medium term, supported by ready-to-allot land, operational utilities, DFC connectivity, and active investor interest.

Catchment areas in industrial cities which are under advanced stages of development - Krishnapatnam, Tumakuru and Nangal Chaudhary also are poised for long-term industrial & warehousing growth. Meanwhile, select planned industrial cities such as Rajpura, Dighi and Gaya, also hold immense long-term potential and can complement existing Tier I cities in the region such as Mumbai, Pune and Kolkata.

Out of 20 government identified industrial smart cities, high impact locations have been arrived on basis of readiness of core infrastructure, proximity to established industrial & warehousing markets and level of existing MSME activity at the district level.

North	West	East	South	Central
Delhi NCR (Greater Noida & Nangal Chaudhary)	Ahmedabad (Dholera)	Gaya	Krishnapatnam	Ujjain (Vikram Udyogpuri)
Rajpura (Patiala)	Chhatrapati Sambhajinagar		Tumakuru	
	Dighi			

Source: Colliers
Note: Remaining cities along the industrial corridors to see growth in long term over the course of next few decades

MMLPs pivotal in improving logistics efficiency

The **35 planned Multi-Modal Logistics Parks (MMLPs)** are proposed at strategic freight-intensive locations across India, covering major metropolitan regions, industrial clusters, port hinterlands, and key consumption centres. These locations were identified by the government to align with other infrastructure projects under the ambit of Bharatmala and Sagarmala Pariyojana, enabling **seamless multimodal freight movement** across the country.

Within these cities, MMLPs will be located on city outskirts or peri-urban industrial zones where large land parcels, highway access and future expansion is feasible.

Overall, these parks are designed to facilitate seamless freight movement between road, rail & waterways and also provide value-added services such as **warehousing, cold storage, customs clearance and cargo handling. By reducing transit times, logistics costs and congestion**, MMLPs are expected to significantly improve supply chain efficiency and support **long term industrial & warehousing growth** in catchment areas.

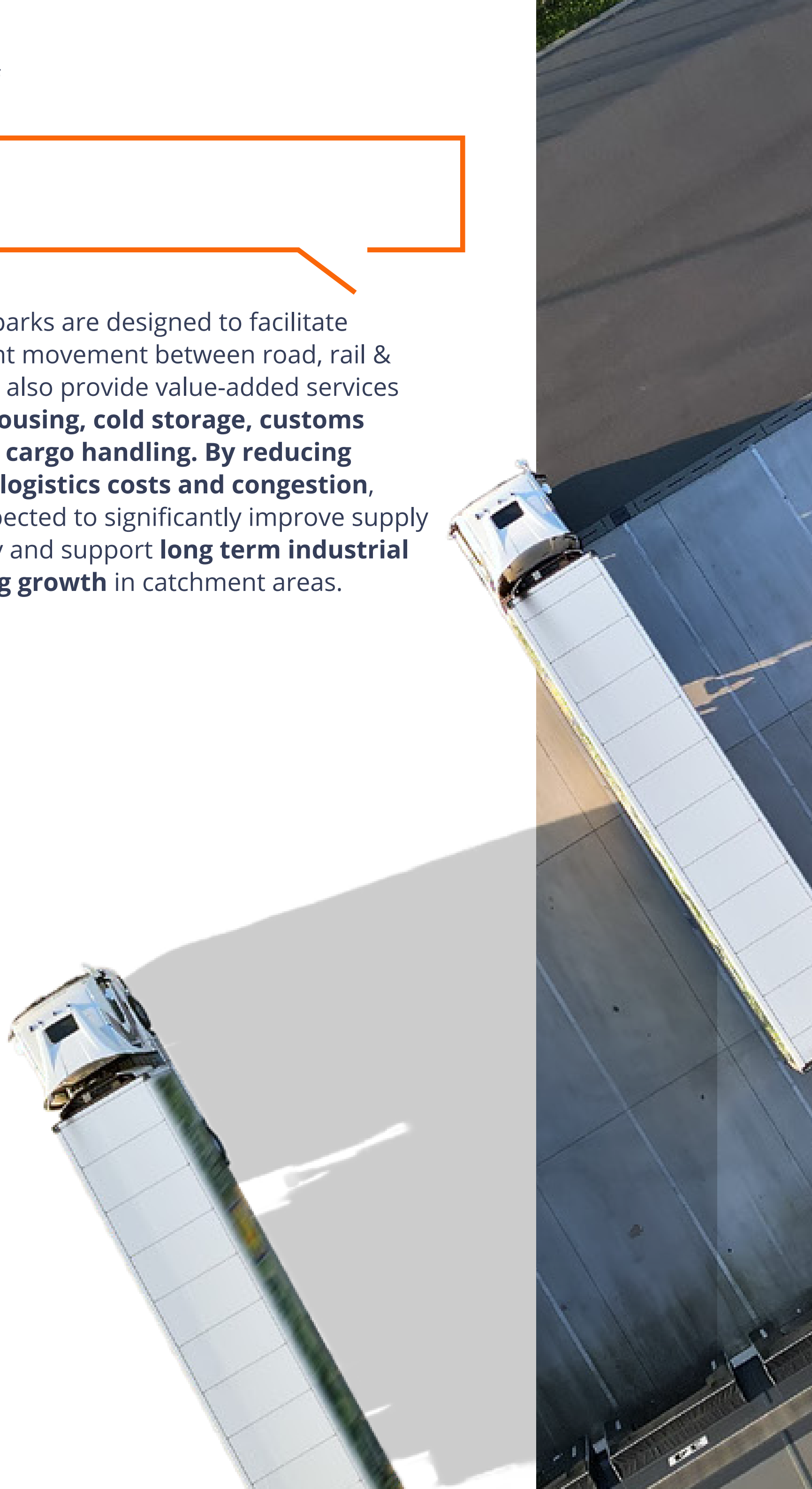
The MMLP advantage

5 out of 35 envisaged MMLPs have approvals in place and are currently under various stages of development

Budget allocation (in INR Crore)

Bengaluru	Chennai	Indore	Jogighopa	Nagpur
1,769	1,423	1,110	693	673

Source: Industry, Government portals/ministries, Colliers



High impact locations

MMLPs are expected to drive industrial & warehousing growth in a phased manner, starting from the five approved and under-development locations - Chennai, Bengaluru, Indore, Nagpur and Jogighopa. These cities are expected to witness faster industrial growth in the near term led by funding tie-ups, infrastructure readiness and maturity of ecosystems.

Meanwhile, few other industrial hubs identified based on existing MSME activity, proximity to highways, rail sidings, ports and consumption centers, are expected to benefit from faster industrial growth and see rising warehousing demand as businesses seek to reduce transport costs. With anticipated 3PL, E-commerce and manufacturing growth, such strategically connected areas are likely to attract higher investments in storage, warehousing and distribution facilities.

Out of 35 government identified MMLP cities, high impact locations have been arrived on basis of construction stage of existing projects, proximity to established industrial & warehousing markets, e-commerce penetration and level of existing MSME activity at the district level.

North	West	East	South	Central
Ambala	Kandla	Guwahati	Bengaluru	Bhopal
Bhatinda	Mumbai	Jagatsinghpur	Chennai	Indore
Delhi NCR	Nagpur	Jogighopa	Coimbatore	
Hisar	Nashik	Kolkata	Hyderabad	
Jaipur	Panaji	Patna	Kochi	
Jammu	Pune		Vijayawada	
	Surat		Visakhapatnam	
	Valsad			

Source: Colliers | Note: Remaining cities along the industrial corridors to see growth in long term over the course of next few decades

Sea and airport linkages to drive logistics in emerging hubs

As India accelerates development of **greenfield ports & airports**, and **expands capacity** of existing ports under the Sagarmala, Bharatmala programmes and National Infrastructure Pipeline, freight movement will steadily shift from a road & rail dominant network to a more efficient air & sea led multimodal network. This transition is likely to **reduce logistics costs** and **improve trade competitiveness**.

With about 160 airports in 2024, the country has an ambitious target of developing **50 more airports in the next 5 years under the UDAN scheme** which will position air transport as a critical mode for time-sensitive and high-value freight handling over the next few years. At the same time, the port expansion will be complemented by **large-scale modernization of existing ports** and the development of port-led industrial clusters, strengthening **sea-based freight movement and coastal shipping.**

Consequently, the addition of new sea-ports and airports is likely to intensify industrial growth around these emerging gateways. Overall, it will lead to heightened traction in **industrial investments, warehouses, cold chain and 3PL hubs** along these upcoming hubs of multi-modal connectivity.

High impact locations

India's next wave of industrial & warehousing growth will be strongly shaped by logistics hubs adjacent to upcoming greenfield airports particularly those in advanced construction stage and nearing operation. Airports such as Navi Mumbai which became recently operational, and Jewar (Noida), Bhogapuram (near Vishakhapatnam), Dholera (near Ahmedabad), which are nearing completion are expected to be catalysts of further growth. Meanwhile airports such as Parandur (near Chennai), Purandar (Pune), Kalyani (near Kolkata) etc. are likely to be completed over the next few years and hence localities in close proximity are expected to experience heightened demand for industrial parks, air-cargo driven warehousing requirements and manufacturing units.

Simultaneously, major port developments at Vadhavan, Honnavar, Dhamra, Krishnapatnam, Kakinada etc. are set to significantly bolster international cargo handling capacity and manufacturing activity in catchment areas. In fact, relatively smaller cities such as Navi Mumbai, Palghar, Surat, Visakhapatnam, Bhubaneswar, Jaipur, Nagpur, Bharuch–Vapi etc, which are in close proximity to these crucial sea or port linkages are expected to witness high demand for industrial parks, Grade-A warehouses, and multimodal logistics facilities.

High impact locations take into account the proximity to major upcoming sea/airport, construction progress, current level of ease of doing business and focus of state governments in complementing central government

North	West	East	South
Ayodhya	Ahmedabad (Dholera)	Bhubaneswar	Bengaluru
Delhi NCR (Noida/Jewar)	Bharuch-Vapi	Dhamra	Chennai
Jaipur	Mumbai- Navi Mumbai	Kolkata	Honnavar
	Nagpur		Kakinada
	Palghar		Kochi
	Pune		Krishnapatnam
	Surat		Mangalore
	Vadhavan		Visakhapatnam

Source: Industry, Government portals/ministries, Colliers

Dedicated parks to revitalize textile & apparel sector

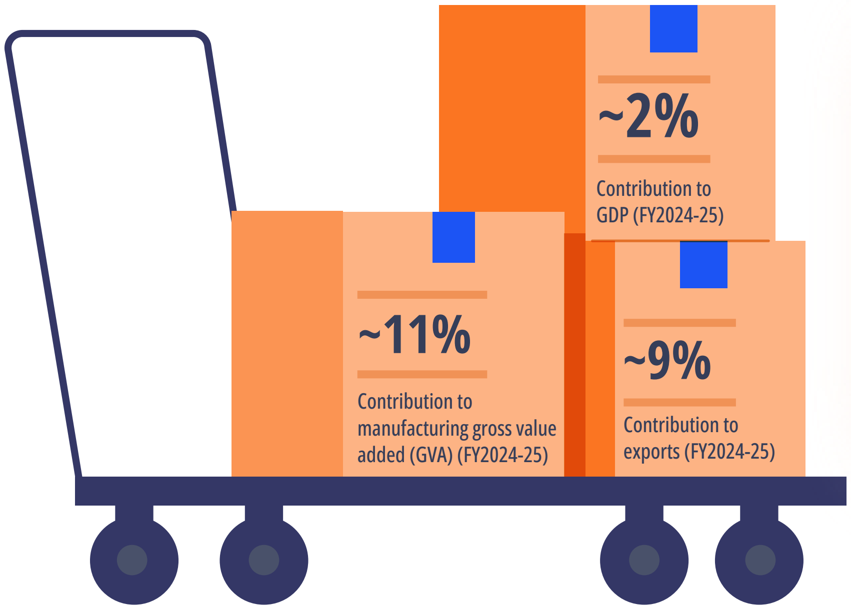
To strengthen **India's textile and apparel sector**, the government has approved **seven** Pradhan Mantri Mega Integrated Textile Region and Apparel **(PM MITRA)** parks with an allocation of ~INR 4,500 crore for a period of seven years up to 2027-28. These dedicated parks will focus on creating large, **integrated textile hubs** with plug-and-play manufacturing facilities and world-class infrastructure.

States have already completed 100% land acquisition and handover to SPVs, and infrastructure work has been initiated across the seven parks, reflecting strong execution momentum.

By bringing the entire **textile value chain together**, the initiative is expected to reduce logistics costs, boost operational efficiency, and **improve India's global competitiveness**. Moreover, plots will be allocated to textile and apparel units, ancillary industries in a phased manner positioning PM MITRA parks as key anchor of textile-led industrial & warehousing growth.

Overall, the initiative signals a strategic push to spread **industrial growth beyond Tier I cities** by leveraging cost advantages, better connectivity, and targeted investments to develop **new manufacturing clusters.**

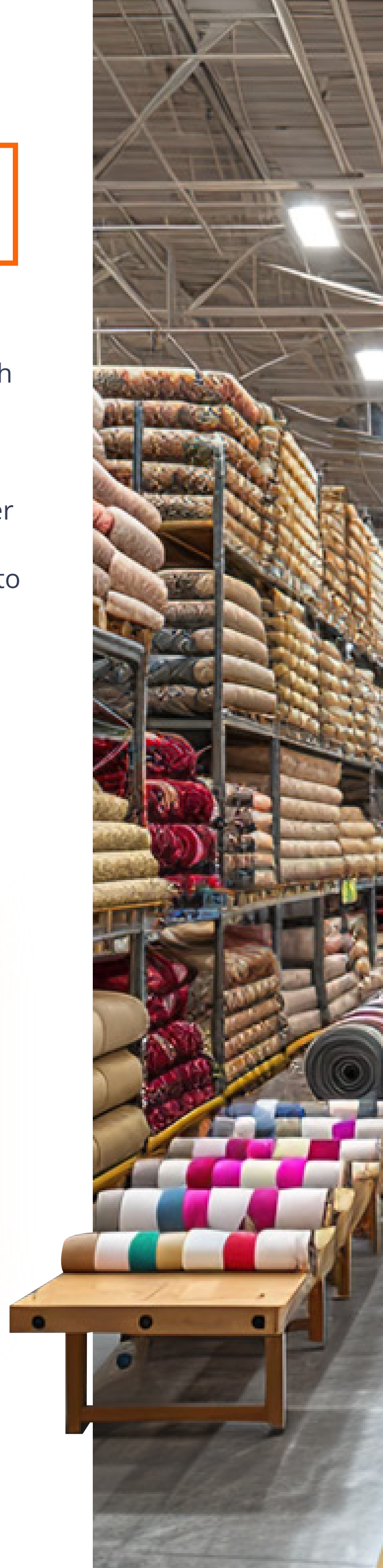
Key stats for India's textile and apparel industry



List of PM MITRA parks

<table>
<tr><th>Location / City</th><th>State</th><th>Type of development</th></tr>
<tr><td>Dhar</td><td>Madhya Pradesh</td><td rowspan="5">Greenfield</td></tr>
<tr><td>Kalaburagi</td><td>Karnataka</td></tr>
<tr><td>Lucknow</td><td>Uttar Pradesh</td></tr>
<tr><td>Navsari</td><td>Gujarat</td></tr>
<tr><td>Virudhunagar</td><td>Tamil Nadu</td></tr>
<tr><td>Amravati</td><td>Maharashtra</td><td rowspan="2">Brownfield</td></tr>
<tr><td>Warangal</td><td>Telangana</td></tr>
</table>

Source: Industry, Government portals/ministries, Colliers



High impact locations

In terms of project completion schedule, Amravati, Lucknow, Kalaburagi and Navsari are relatively ahead as compared to others and hence the perceptible industrial & warehousing impact of PM MITRA parks is higher in and around these cities.

Moreover, these dedicated parks are expected to attract investments and stimulate spillover warehousing demand across adjoining cities such as Nagpur, Kanpur, Surat, Vapi, and Bharuch. Parks in Dhar, Warangal, and Virudhunagar are still in the early stage of development. Hence, the impact is likely to be witnessed over a longer horizon, with gradual spillover into nearby cities such as Indore, Ujjain, Madurai and Sivakasi.

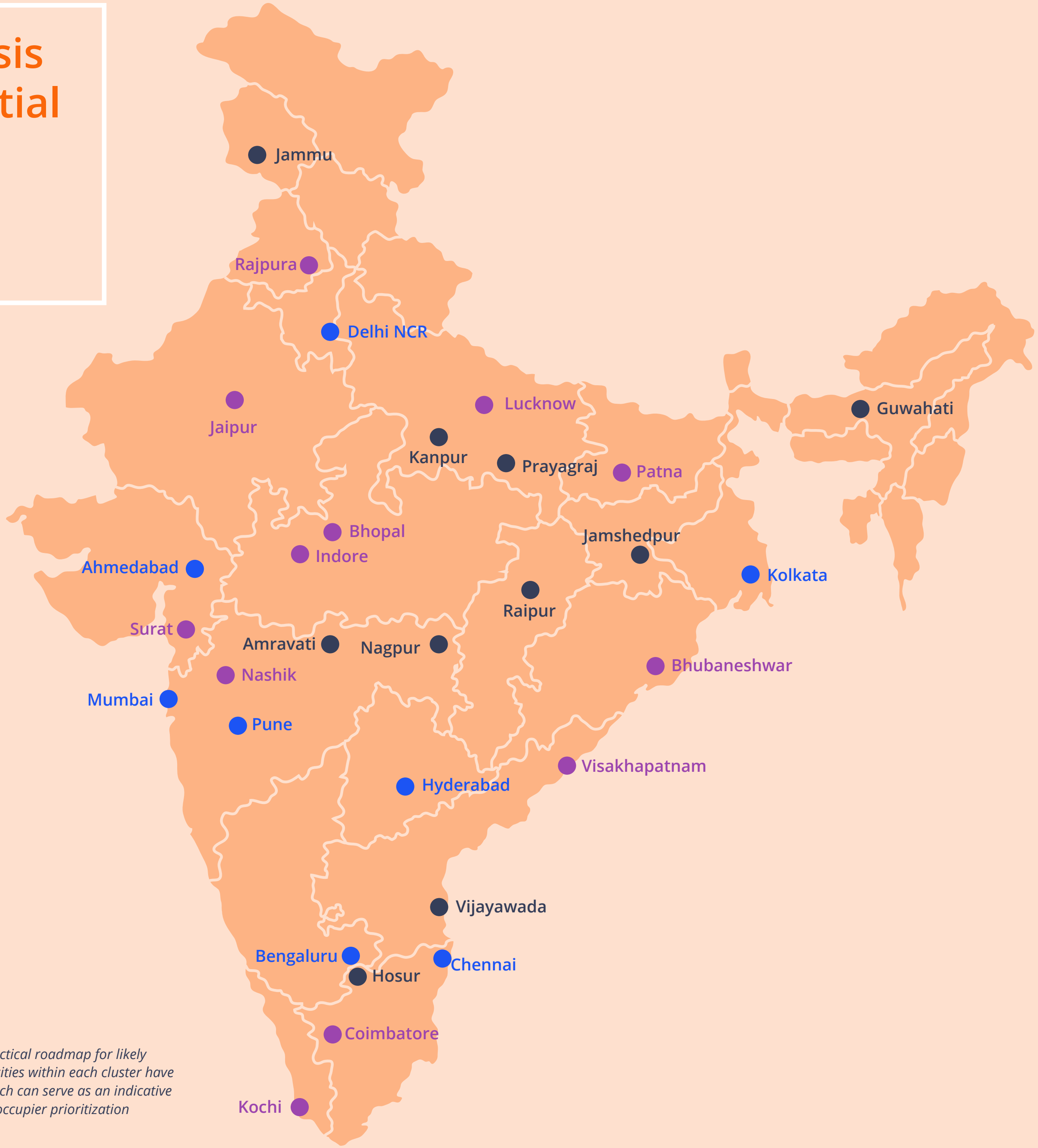
Overall, PM MITRA parks are likely to drive traction for ancillary industrial spaces, MSME units, and warehouses on account of convergence of manufacturers, suppliers, logistics firms, and other service providers looking to capitalize on the policy push in the sector. High impact locations have been arrived by considering all the 7 PM MITRA cities and additional industrial hubs where spillover demand is likely to grow further.

North	West	East	Central
Kanpur	Amravati	Kalaburagi	Dhar
Lucknow	Bharuch	Madurai	Indore
	Nagpur	Sivakasi	Ujjain
	Navsari	Virudhunagar	
	Surat		
	Vapi		

Source: Colliers

Cluster analysis of high potential industrial & warehousing cities

Colliers' top 30 industrial and warehousing hubs



Source: Colliers
Note: The three-tiered clustering offers a practical roadmap for likely industrial & warehousing growth. Although cities within each cluster have equally high potential, the clustering approach can serve as an indicative tool for investors and developers as well as occupier prioritization

Cluster Categories

PRIME hubs

City	Regions
Ahmedabad	West
Bengaluru	South
Chennai	South
Delhi NCR	North
Hyderabad	South
Kolkata	East
Mumbai	West
Pune	West

EMERGING hubs

Bhopal	Central
Bhubaneswar	East
Coimbatore	South
Indore	Central
Jaipur	North
Kochi	South
Lucknow	North
Nashik	West
Patna	East
Rajpura	North
Surat	West
Visakhapatnam	South

NASCENT hubs

Amravati	West
Guwahati	East
Hosur	South
Jammu	North
Jamshedpur	East
Kanpur	North
Nagpur	West
Prayagraj	North
Raipur	Central
Vijayawada	South

Given the policy push and infrastructure development across regions, Colliers envisages multiple cities to emerge as front-runners of industrial & warehousing growth over the course of next few decades.

Based on high-potential cities identified by government, complemented with our analytical framework we assessed **over 100 such industrial hubs** to determine their attractiveness for industrial & warehousing segment and growth potential over the next 5-6 years.

The assessment with respect to select flagship infrastructure projects pruned down the list to **about 70 high potential cities**. A comprehensive analysis of these cities was done involving assessment of project progress schedule of **flagship infrastructure projects** such as upcoming industrial corridors, MMLPs, sea & airports, textile parks, large-scale industrial cities etc., along with **proximity to established industrial hubs, e-commerce penetration and MSME activity.**

We have further narrowed it down to the final list of **30 cities** on basis of **existing maturity** of industrial ecosystem, **existing Grade A warehousing stock** and likely **investor appetite**.

Overall, the detailed analysis aided in clustering of 30 industrial & warehousing hubs as **Prime hubs, Emerging hubs** and **Nascent hubs.** A geographical spread of these 30 hotspots highlights equitable growth across the Northern, Southern, Western, Eastern, and Central regions of the country. Moreover, as prerequisites of industrial & warehousing growth converge, nascent markets can transition into the emerging hubs and eventually complement the prime hubs in the long-term.

Prime hubs,

which are already establish demand centers, are expected to mature further and consolidate their lead, as operational infrastructure and ecosystem depth allows them to absorb new capacity quickly.

Emerging hubs

are likely to gain significant momentum over the course of next few years as critical industrial corridors, logistics parks, multi-modal hubs etc. near completion, scaling up industrial and warehousing demand in the process.

Nascent hubs

represent cities, where the impact will start to pick pace gradually and depend on enablers such as core infrastructure adequacy, land aggregation, utility readiness (power/water), policy support and investor readiness.

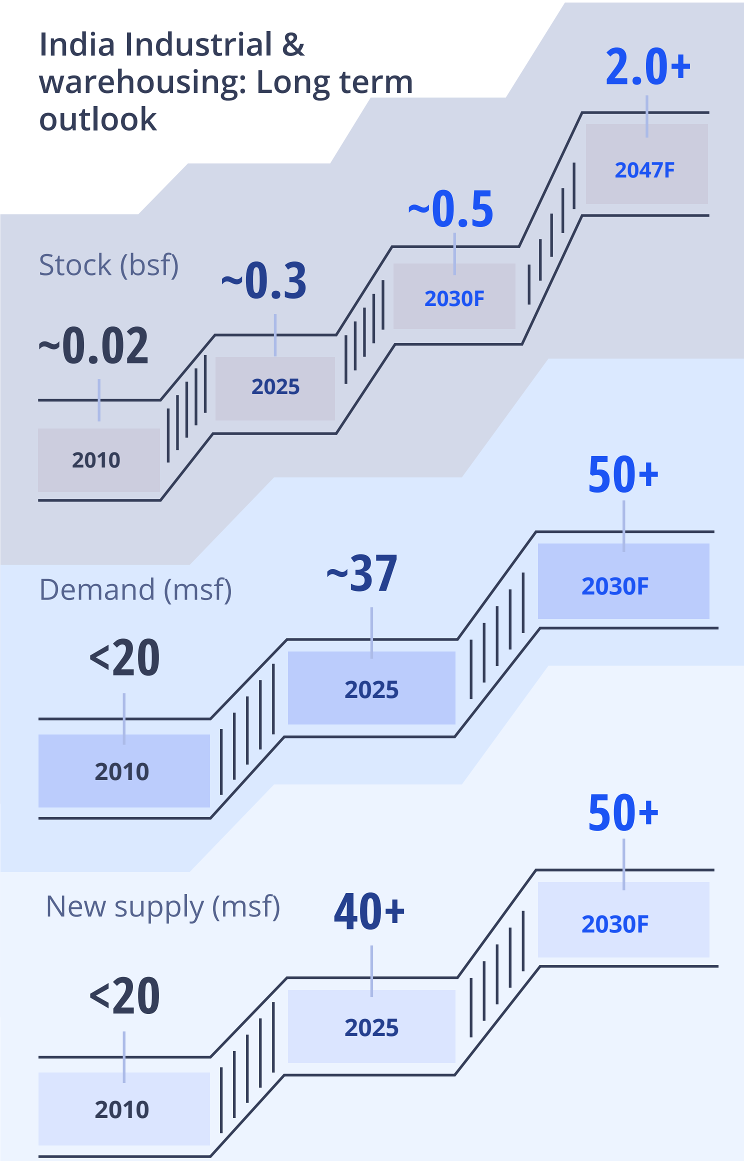
Converging trends and outlook

The industrial & warehousing market, one of the promising sectors in Indian real estate, is undergoing a transformative shift in t erms of leasing volumes, stock availability and quality of offerings. We anticipate Grade A stock to cross 500 msf by 2030 and eventually scale up to 2 bsf by 2047, the centenary year of India's independence. The industrial & warehousing market is poised for strong expansionary growth in the next few years, as 3PL players accelerate Grade A space demand across Tier I cities and emerging hubs. The continued rise of e-commerce and q-commerce will fuel the proliferation of hyperlocal facilities such as micro-fulfilment centers, dark stores, and in-city warehouses, enabling faster and agile deliveries. Additionally, rising traction in Tier II & III cities will be supported by enhanced regional connectivity through expressways, dedicated freight corridors, industrial corridors, and upcoming Multi-Modal Logistics Parks (MMLPs), that would further expand the country's logistics capabilities.

05

CHAPTER

Demand & supply-side scale up to pick pace across major markets



Source: Colliers

India's industrial & warehousing market is set for strong long-term expansion, with total stock projected to grow over 2 bsf by 2047. Demand is rising rapidly and Grade A space uptake is expected to breach 50 msf across the top cities by 2030. Supply is also scaling up, keeping pace with the surge in demand. Meanwhile, rentals could potentially firm up significantly over the next few years, attracting institutional investors and real estate developers alike.

City wise trends & 2026 outlook

Cities	2025			2026 Outlook			
	Top demand drivers			Demand	Supply	Vacancy	Rental
Ahmedabad	3PL	FMCG	Automobile	↑	↔	↔	↔
Bengaluru	Engineering	Automobile	Retail	↑	↔	↓	↑
Chennai	Engineering	3PL	Automobile	↔	↑	↔	↑
Delhi NCR	3PL	E-Commerce	FMCG	↑	↓	↓	↑
Hyderabad	3PL	Engineering	E-Commerce	↔	↑	↔	↔
Kolkata	3PL	E-Commerce	FMCG	↑	↓	↓	↑
Mumbai	3PL	E-Commerce	FMCG	↑	↑	↔	↔
Pune	Engineering	3PL	Automobile	↓	↓	↔	↔

Technology adoption and sustainability to strengthen developer offerings

India's industrial and warehousing landscape is increasingly being shaped by digitalization, suggesting a broader shift from traditional storage setups toward more technology-driven facilities. Warehouses are evolving into "smart" facilities where automation, data analytics, and IoT tools play a greater role in streamlining operations and improving transparency. Real-time asset tracking, automated workflows, and digital control mechanisms are becoming more prevalent, enhancing supply chains while reducing reliance on manual processes and minimizing operational delays.

Adoption of Warehouse Management Systems (WMS), IoT-enabled sensors, and RFID/barcode-based tracking is now becoming standard, enabling end-to-end visibility across the supply chain. Advanced warehouses are also deploying Automated Storage & Retrieval Systems (AS/RS), conveyor-based material movement & drones for inventory checks, and robotic process automation (RPA) for repetitive tasks. Digital twins and AI-driven predictive analytics further support capacity planning, risk management and demand forecasting.

These technological upgrades are contributing significantly to efficiency, sustainability, and compliance. Smart energy management systems optimize electricity consumption; predictive maintenance reduces downtime; and digital processes ensure adherence to safety and environmental standards. For occupiers, this translates into lower operational costs, faster order cycles, and enhanced scalability, making technology-adept facilities a core element of next-gen warehouses in India.

Traditional Warehouses	Process/Workflow	Smart Warehouses
Manual entry and tracking	*Inventory tracking*	IoT sensors, RFID, real-time automated tracking
Highly labor dependent	*Operational efficiency & maintenance support*	Automated workflows, robotics, predictive maintenance, sensors
Basic WMS with a lot of paperwork	*Warehouse management*	Advanced WMS with analytics, dashboards, AI tools
Forklifts, pallet jacks, manual movement	*Material handling*	AS/RS, conveyors, AMRs, drones for inventory checks
Limited visibility across supply chain	*Visibility and control*	End-to-end real-time visibility and monitoring
High manpower dependency	*Labor requirement*	Lower manpower and major focus on technical skills
Frequent errors in documentation	*Accuracy and error rate*	Higher accuracy with automated checks and systems
Conventional utilities without real-time monitoring	*Energy management and sustainability*	Smart meters, energy optimization systems with green features, renewable energy and waste control
Manual safety checks and limited controls	*Safety and compliance*	End-to-end real-time visibility and monitoring
High operating costs (OPEX) per unit	*Cost structure*	High capital expenditure costs (CAPEX) but significantly lower OPEX

Source: Colliers

Ongoing trends and opportunities

Rise of tier II and III cities amidst infrastructure push

- Major industrial corridors and upcoming **Multi-Modal Logistics Parks (MMLPs)** will significantly expand warehousing opportunities across regions.
- Established markets will continue to account for bulk of the demand and supply; however, **Tier II & III cities** will simultaneously gain momentum with improved connectivity and logistics efficiency.
- **Freight activity** is expected to increase sharply along key infrastructure corridors, boosting demand for warehouses, logistics parks, and manufacturing facilities.
- Rising activity from **third-party logistics (3PL) operators** will be a crucial driver of Grade A warehousing expansion, particularly in Tier II & III locations.

Source: Colliers

EV and ancillary industries to boost industrial & warehousing needs

- Beyond 3PL players, sectors such as **FMCG, retail, engineering, automobiles, and EVs** are expected to increasingly contribute to the industrial and warehousing demand, diversifying the occupier base.
- As **EV manufacturing grows**, demand will rise for storage and distribution facilities for batteries, components, and charging infrastructure.
- Supporting industries such as **auto parts, electronics, and service logistics**, will also require modern, well-located warehouses to ensure efficient supply chains and faster access to markets.

Increased opportunities in micro-fulfilment centers and dark stores

- **In-city warehousing** is expected to grow rapidly, driven by the continued expansion of e-commerce.
- The rise of **quick commerce (Q-commerce)** will increase the need for micro-warehouses and fulfilment centres closer to consumer clusters.
- The growing adoption of **dark stores** will further accelerate warehousing demand, supporting faster delivery and hyperlocal distribution models.

Plug and play industrial parks to enhance speed and efficiency

- **Plug-and-play industrial parks** are gaining momentum as occupiers prefer ready-to-use facilities that minimize time-to-market and reduce operational complexity.
- These parks will increasingly cater to sectors such as **EVs, FMCG, and engineering**, offering integrated infrastructure that enable faster deployment and improved operational efficiency.

Manufacturing momentum to drive large-sized deals

- India's industrial & warehousing sector is set to gain significantly from the country's manufacturing push, supported by initiatives such as **Make in India, Gati Shakti, and PLI schemes**.
- In the coming years, **large-size transactions of 200,000 sq ft and above**, primarily driven by 3PL, engineering, and automobile firms, are expected to contribute **40–50% of Grade A demand**.
- This shift highlights rising occupier confidence and the growing need for **scalable, high-quality warehousing infrastructure** across major cities.

Annexures

Select national flagship programmes and initiatives

Policy / Programme	Launch Year	Objectives and Key Features
Dedicated Freight Corridor (DFC) Programme	2006	Build high-capacity freight railway corridors to decongest passenger lines and improve efficiency • Eastern corridor (1337 km) is completed while Western corridor (1506 km) is about 97% completed and partially operational • Future extensions such as North-South corridors are in under-construction/planning stage
Make in India Programme	2014	Aims to facilitate investment, foster innovation, build best in class infrastructure, and make India a hub for manufacturing, design, and innovation. • Focuses on 27 sectors under Make in India 2.0. Out of 27, 15 are manufacturing and 12 are service sectors.
Sagarmala Programme	2015	Promote port-led development and coastal economic activity • Over 800 projects worth INR 5.5 lakh crore identified
National Industrial Corridor Development Programme (NICDP)	2016	Develop world-class industrial cities and smart nodes for manufacturing-led growth • Over 800 projects worth INR 5.5 lakh crore identified • Total investment of INR 28.602 crore
Bharatmala Pariyojana	2017	Improve national highway connectivity and integrate economic corridors • Phase I: 34,800 km under implementation • Travel time reduction by 25–30% • Development of 65,000 km of highways
Multimodal Logistics Parks (MMLPs)	2017	Aims to transform logistics in India, by improving competitiveness, productivity, and global integration. • 35 sanctioned parks, out of which 5 have been approved across India
Production Linked Incentive (PLI) Scheme	2020	A transformational push for manufacturing, employment, and global competitiveness • Incentives linked to incremental production across 14+ sectors • Over USD 25 billion committed under PLI schemes
PM Gati Shakti National Master Plan (PMGS-NMP)	2021	Achieve multimodal connectivity through a unified digital platform • Focus on 7 "engines": Roads, railways, ports, waterways, airports, mass transport, logistics infrastructure. • Unified GIS-based planning tool • Data-driven prioritization and monitoring
Pradhan Mantri Mega Integrated Textile Region and Apparel (PM MITRA) parks	2021	To strengthen India's textile and apparel sector. By bringing the entire textile value chain together, the initiative is expected to reduce logistics costs, boost operational efficiency, and improve India's global competitiveness. • 7 parks approved with an allocation ~INR 4,500 crore
National Logistics Policy (NLP)	2022	Streamline logistics operations, and enhance competitiveness • Logistics Performance Index target: Top 25 globally by 2030 • Create an integrated digital logistics ecosystem
Dedicated Rare Earth Corridors	2026	These corridors will focus on mining, processing, research, and manufacturing, leveraging the mineral-rich base of the identified states. The initiative is expected to generate stronger local economies, enhance R&D capacity, and integrate India more deeply into global advanced-materials value chains. • 4 states including Odisha, Andhra Pradesh, Tamil Nadu and Kerala are identified
India Semiconductor Mission 2.0	2026	Aims to produce equipment and materials, design full-stack Indian IP, and fortify supply chains. Mission will also focus on industry-led research and training centres to develop technology and skilled workforce • INR 1,000 crores budget allocated for FY27
Bio-Pharma SHAKTI Scheme	2026	AInitiative is aimed at strengthening India's ecosystem for production of biologics and biosimilars. It also aims to reduce import dependence and enhance India's competitiveness in global biologics supply chains. • •Union Budget 2026-27 has proposed an outlay of INR 10,000 crores over 5 years.

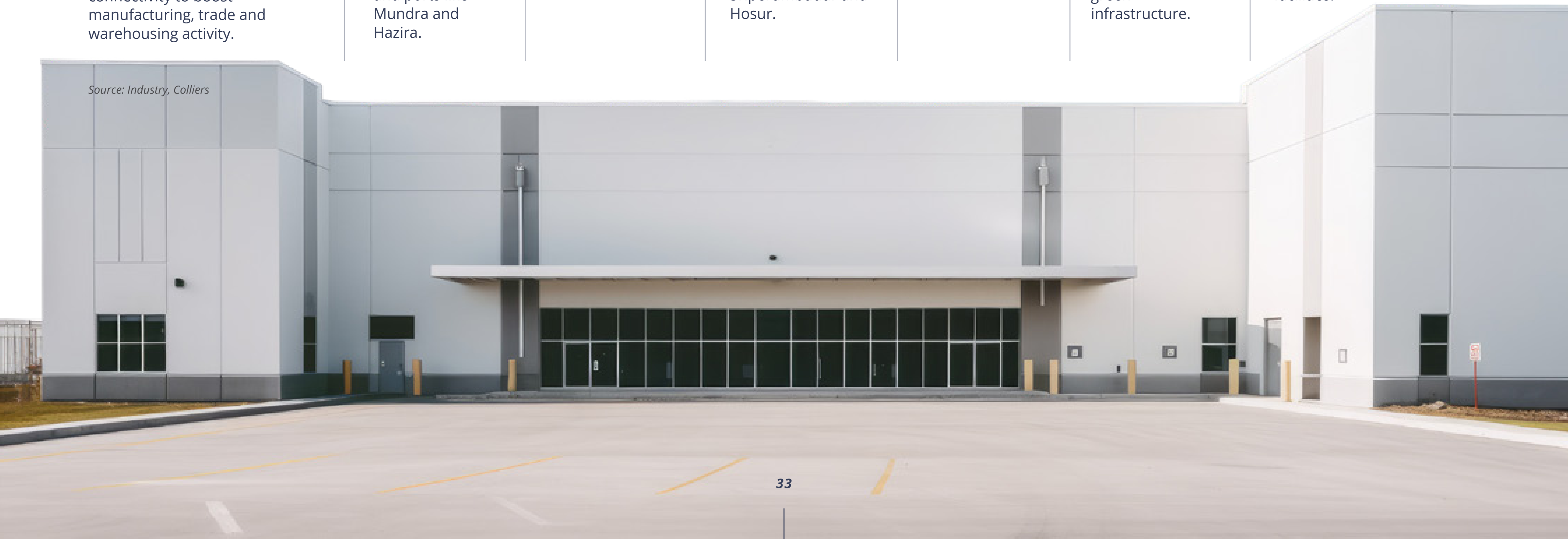
Source: Industry, Government portals/ministries, Colliers

Select state level industrial & logistics policies

State level industrial and logistics policies

West Bengal Industrial Development Policy, 2013	Gujarat Industrial Policy, 2020 and Logistics Policy, 2021	Odisha Logistics Policy, 2022	Tamil Nadu Logistics Policy, 2023	Uttar Pradesh Warehousing and Logistics Policy, 2022	Karnataka Industrial Policy, 2020-2025	Maharashtra Logistics Policy, 2024
Emphasizes on industrial growth through improved logistics and port-led development, leveraging the state's strategic location. The policy supports the development of logistics parks along key corridors such as Kolkata–Haldia, Durgapur and Asansol, while strengthening road, rail and port connectivity to boost manufacturing, trade and warehousing activity.	Supports export-led manufacturing through incentives for warehousing, cold storage, and logistics infrastructure near industrial corridors and ports like Mundra and Hazira.	Seeks to establish an integrated, efficient, and sustainable logistics ecosystem through innovation, competitiveness, and good governance.	Targets reducing logistics costs, strengthening port connectivity (Chennai, Ennore, Tuticorin), and developing logistics parks near industrial nodes such as Sriperumbudur and Hosur.	Aims to leverage upcoming expressways and freight corridors to position Noida, Lucknow–Kanpur, and Gorakhpur as logistics hubs.	Promotes logistics and industrial clusters in Bengaluru, Tumakuru, and Hubballi–Dharwad, with incentives for MSMEs, EV manufacturing, and green infrastructure.	Focuses on enhancing multimodal connectivity for industrial clusters, expanding cold chain and warehouse capacity, and promoting 3PL facilities.

Source: Industry, Colliers



Union Budget 2026–27: Key announcements and industrial & warehousing impact

INFRASTRUCTURE & URBAN DEVELOPMENT

Announcements:

- Allocation of INR 5,000 crore per City Economic Regions (CER) over the next 5 years
- The Pradhan Mantri Awas Yojana Urban 2.0 received a higher capital outlay of INR 3,000 crore for FY 2026–27, up from INR 300 crore in FY 2025–26 (RE)
- Infrastructure Risk Guarantee Fund offering partial credit guarantees will be established
- Seven High-Speed Rail corridors between cities as 'growth connectors'
- INR 100 crore incentive for large cities issuing single municipal bond above INR 1,000 crore. Existing AMRUT scheme to support smaller towns with issuances up to INR 200 crore.
- Establish new Dedicated Freight Corridors connecting Dankuni in the East to Surat in the West
- To establish dedicated Rare Earth Corridors in mineral rich states to promote mining, processing, research and manufacturing
- Operationalize 20 new National Waterways (NW) over the next 5 years

Impact:

- Improve regional connectivity and equitable real estate growth by advancing development of Tier II/III towns
- The focus on Dedicated Freight Corridors, inland waterways will accelerate urban development in untapped markets
- Infrastructure risk guarantee fund to strengthen private developer participation during the infrastructure development and construction phase

INDUSTRIAL & MANUFACTURING

Announcements:

- Scaling up manufacturing in key sectors- Biopharma, electronics, semiconductors, chemicals, rare earth minerals, textiles etc.
- Launch of India Semiconductor Mission 2.0
- Setting up Mega textile parks with focus on supply chain value addition
- Setting up of 3 Chemical Parks using a plug-and-play model
- Outlay for electronics component manufacturing will be increased to INR 40,000 crore to strengthen domestic production and innovation
- Reviving 200 legacy industrial clusters to improve their cost competitiveness and efficiency through infrastructure and technology upgradation
- Scheme for container manufacturing with a budgetary allocation of INR 10,000 crore over a 5-year period

Impact:

- Impetus on manufacturing is likely to drive long-term growth for Grade A industrial sheds and warehouses
- Semiconductor Mission 2.0, Electronics Component Manufacturing Scheme, Rare Earth Corridor etc. can provide a long-term boost to the EV industry and hence boost warehousing requirements.
- Create a globally competitive manufacturing ecosystem in next 5 years

MICRO, SMALL & MEDIUM ENTERPRISES (MSMES)

Announcements:

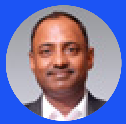
- Dedicated INR 10,000 crore SME Growth Fund
- Self-Reliant India fund with INR 2,000 crore to support micro enterprises
- Develop a pool of 'Corporate Mitras' in Tier-II & Tier-III cities to extend professional support in collaboration with leading professional institutions

Impact:

- Enterprise resilience spurring real estate demand and accelerating overall economic growth
- Self-reliant fund will support micro & small enterprises enhancing their access to capital and indirectly boost industrial & warehousing space uptake across major markets

Source: Union Budget 2026-2027, Colliers

For further information, please contact:



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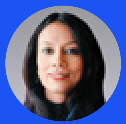

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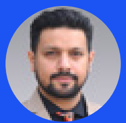
Design & Development



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